

▶ Masterclass Day 7

# Stock Market Indices

Measuring the Pulse of the Economy and Tracking Market Trends.

# The BSE **SENSEX**

The term SENSEX is a blend of two words: **Sensitivity** and **Index**. It was coined by market analyst Deepak Mohoni in 1989.

- » **The Barometer:** It tracks the performance of the 30 largest, most actively traded, and financially sound companies listed on the Bombay Stock Exchange (BSE).
- » **Free-Float Market Cap:** The index is calculated using a free-float market capitalization methodology, meaning it only counts shares available for public trading.
- » **Historical Baseline:** It uses 1978-79 as its base year, with an initial base value of just 100 points!



# The NSE **NIFTY 50**



# 50

BLUE-CHIP STOCKS

## **The Modern Benchmark**

Introduced in 1996 by the National Stock Exchange (NSE), the term NIFTY combines "National" and "Fifty".

It represents the weighted average of 50 of the largest Indian companies across roughly 13 major sectors of the economy.

**The Institutional Favorite:** Because of the NSE's massive trading volumes and liquidity, the Nifty 50 is the primary benchmark index used by Mutual Funds, Foreign Institutional Investors (FIIs), and major derivatives traders in India.

# High Volatility: **Bank Nifty**



## **The Financial Engine**

The Nifty Bank index comprises the most liquid and heavily capitalized Indian banking stocks (both public and private sector).

It is heavily weighted towards banking giants like HDFC Bank, ICICI Bank, SBI, and Axis Bank. If these 4 banks move, the entire index moves.

**Trader's Paradise:** Bank Nifty is notoriously famous among Intraday and Options traders because of its extreme volatility and high daily price movements. It often dictates the mood of the broader Nifty 50.

# Tracking Specifics: **Sectoral Indices**



## **Nifty IT**

Tracks the performance of Indian tech giants like TCS, Infosys, and Wipro. This sector is heavily dependent on the US and European economies for revenue.



## **Nifty Auto**

Tracks companies like Tata Motors, Mahindra & Mahindra, and Maruti Suzuki. It is a massive indicator of domestic consumption and middle-class spending power.



## **Nifty Pharma**

Tracks healthcare leaders like Sun Pharma and Cipla. Known as a "defensive" sector, it often performs well even when the broader market is falling.

# Watching the Global Pulse

The Indian stock market does not operate in a vacuum. We react aggressively to global economic cues.

**Dow Jones (US):** Tracks 30 prominent industrial giants. It's the traditional thermometer of the US economy.

**S&P 500 (US):** The top 500 companies in the US. This is the truest representation of the American market.

**NASDAQ (US):** Extremely tech-heavy. When Nasdaq falls at night, Indian IT stocks usually open in the red the next morning. *When Wall Street sneezes, Dalal Street catches a cold!*



# Great Job on Day 7!

Tomorrow: Order Types.

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